a result industry is established near the coal mines. But with the invention of electricity, today industries are located in any place where electricity is available. Industries like aluminum units are located near the hydroelectric projects.

3. **Transport costs** Transport costs also influence the location of industries. Industries incur transport costs for bringing raw-materials and for sending the finished goods into the markets. It is economical to start an industry near the area where transport costs are minimum and low. Raw-materials which are heavy and occupy large place, require huge cost for transporting them. So an industry must be located near the area where the transport costs are minimal.

4. **Nearness to the market:** This is a chief factor governing the location of an industry in modern period. Several advantages are secured when an industry is established near the market.

5. **Availability of labour:** Labour is required for organizing the productive affairs of an industry. The entrepreneurs like to start industries in those areas where labour is abundantly available. For example The growth of cotton textile industry near Bombay is due to the availability of cheap labour.

6. **Government policy:** The policy of government also influences the location of industries. The Government may establish an industry on political considerations by giving several incentives. It provides finance, land, water, and transport and communication facilities in backward regions with a view to developing them. It also provides tax concession, marketing consultancy, export and import facilities.

7. **Availability of capital:** Capital is the most essential factor for the establishment of an industry in a locality.

Weber's Theory of Location

Weber has developed an industrial location emphasising the least cost principle. This is based on assumptions relating to transport costs and other conditions. From his theory, industrial locations for three different situations are made clear.

Assumptions:

1. Some resources are available only in certain regions. Yet, resources such as water are ubiquitous (present everywhere).
2. Markets are found only in specific places.
3. Transport costs are determined based on the weight of the raw materials and distance of transfer.
4. There is competition in the markets for the commodities produced at the industry.
5. Humans use their discretion in their consumer behaviour in relation to the industrial commodities.

Based on these assumptions, together with the notion of high profits with least costs and imagination, Weber describes his theory of industrial location.

Weber uses a triangular structure to elaborate on his theory of industrial location using least transport cost principle. The two corners of the triangle defined by the base line represent the places where raw materials are found (R1 and R2). The market (M) is at the apex of the triangle. In the figure below, R1 and R2 are resource locations, consisting of two types of resources. M is the market and P is the industrial location.

As the logic behind Weber's location indicates, some industries produce finished products which lose weight (weight losing raw materials). In this case, the transport cost for raw materials transfer to the industrial location is higher than the transport cost of moving

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